

PHARMACY BENEFIT REVIEW · TWICE-YEARLY FRAMEWORK

Pharmacy Benefit Review. *Twice a Year. Six Categories. Twenty Audit Items.*

The framework PBS uses on the semi-annual PBR engagement, formatted as a self-service audit checklist for plan sponsors who want to run it internally.

This is the self-service version of the Pharmacy Benefit Review (PBR), a twice-yearly comprehensive audit PBS runs for clients across six categories of pharmacy benefit performance. Each category has three to four audit items. Run the full framework at the mid-point of your plan year and again roughly 60 days before renewal to surface the patterns that decide your negotiation position. PBS clients receive a written PBR report; plan sponsors running this internally produce the same artifact.

01 Run the six-category audit

The PBR covers six categories: **Financial Performance** · **Contract Compliance** · **Clinical Programs** · **Member Experience** · **Vendor Management** · **Strategic Position**. Each category has 3-4 audit items (20 total). Pull the data package on page 2 from the PBM; score each item 1-5 against the data. The rubric and dollar magnitude live in the per-mechanic Toolkit handouts (Channel Pricing, Rebate Audit, GER Audit, PBM Compensation, Specialty Routing).

02 Score and interpret

Total score across the 20 items: 20-100. **Below 50:** meaningful unrealized cost containment + member experience risk; bring full audit findings to the next renewal cycle. **50-70:** mixed results, focus the next 90 days on the lowest-scoring category. **Above 70:** strong PBM oversight position; document the wins, refresh at the next half-year review, shift focus to renewal readiness.

03 Bring the PBR to renewal

Plan sponsors with documented PBR audit findings negotiate different renewal terms than plan sponsors who walk in with the PBM's summary report. The PBR is the counter-narrative. Build the written report (analysis + findings + redline agenda) and pre-circulate to the benefits committee before the first renewal meeting.

04 The Pattern PBS Sees Most Often

Across hundreds of PBM contract reviews and audits annually at PBS: the plan sponsors who run a structured semi-annual PBR (with this framework or one like it) walk into renewal with documented gaps that move terms. The plan sponsors who do not run the audit walk into renewal with the PBM's summary report as their only reference and inherit the PBM's frame.

05 Paste-Ready: Send to Your Broker or PBM

PBR DATA REQUEST · TO PBM + BROKER

Subject: Semi-Annual Pharmacy Benefit Review – data package

Please provide the following data covering the past six months:

Financial Performance:

1. PMPM trend by month, with budget and prior-year comparison
2. GER and BER quarterly performance vs. contracted guarantee
3. Rebate per brand claim trend by channel (retail/mail/specialty)

Contract Compliance:

4. Performance guarantee scorecard for the period
5. List of every annual disclosure delivered (rebate attestation, conflict-of-interest, data-partnership, audit-results, material-change notice)
6. Mid-year written-notification record for any miss

Clinical Programs:

7. PA approval/denial rate by therapeutic class
8. Step therapy override rate by class
9. Clinical-program savings methodology (one sample calculation per reported program)

Member Experience:

10. Member-disruption events documented (formulary changes, network changes, PA criteria changes) with continuity-of-care delivery confirmation
11. Transition supply provisioning record

Vendor Management:

12. Issue resolution timeliness log
13. Account team continuity (any turnover)

Strategic Position:

14. Current pharmacy network membership list and 12-month exclusion log
15. Termination, renewal, and amendment clause status

Delivery requested within 21 business days. Output goes into the Plan Sponsor's semi-annual Pharmacy Benefit Review.

06 This Quarter's Action Plan

MID-PLAN-YEAR PBR

Pull the six-category data + score the framework

Use this checklist alongside the per-mechanic Toolkit handouts. The Channel Pricing, Rebate Audit, GER Audit, PBM Compensation, and Specialty Routing Toolkits all feed into the financial performance and contract compliance categories.

PRE-RENEWAL PBR • ~60 DAYS OUT

Re-run the framework + write the period-over-period comparison

The pre-renewal PBR is the most useful single document a plan sponsor can take into a renewal cycle. The period-over-period comparison shows the trajectory PBM definitions and economics moved across the year, the silent drift the contract reads through.

BRING THE PBR TO RENEWAL

Use the audit findings as the renewal redline agenda

Plan sponsors with documented PBR audit findings negotiate different renewal terms than plan sponsors who walk in with the PBM's summary report. The PBR is the counter-narrative.

OPTIONAL • CONTACT PBS

If you'd like PBS to run the PBR for your plan

team@rxbs.org • We deliver a written PBR report with PBS-led data analysis, contract-language redlines, and the negotiation agenda for the next renewal cycle. Twice a year, scoped to your plan.